

Value Creation, Strategy & Other Thoughts

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| about me

- **Seasoned Navigator:** Multi-cycle experience across investment banking, equity research, and private equity.
- **Technical Proficiency:** Proficient in financial modeling and asset valuation.
- **Credentialed:** CFA Charterholder and CMA Certificate holder, plus Wharton School alumnus (AFP).
- **Industry Contributor:** ICMA Exam Review Committee Member (current) and IFRS FSA Level II Exam Subject Matter Expert (former).
- **Community Engagement:** Guest teacher for Denver Public Schools (current) and non-profit board director and treasurer (former).

**What game
are you
playing?**

**How are you
going to
win?**

You: “I’m in the value creation business...”

| value creation drivers

Economic Spread

- Power x speed
- Being different
- Being better

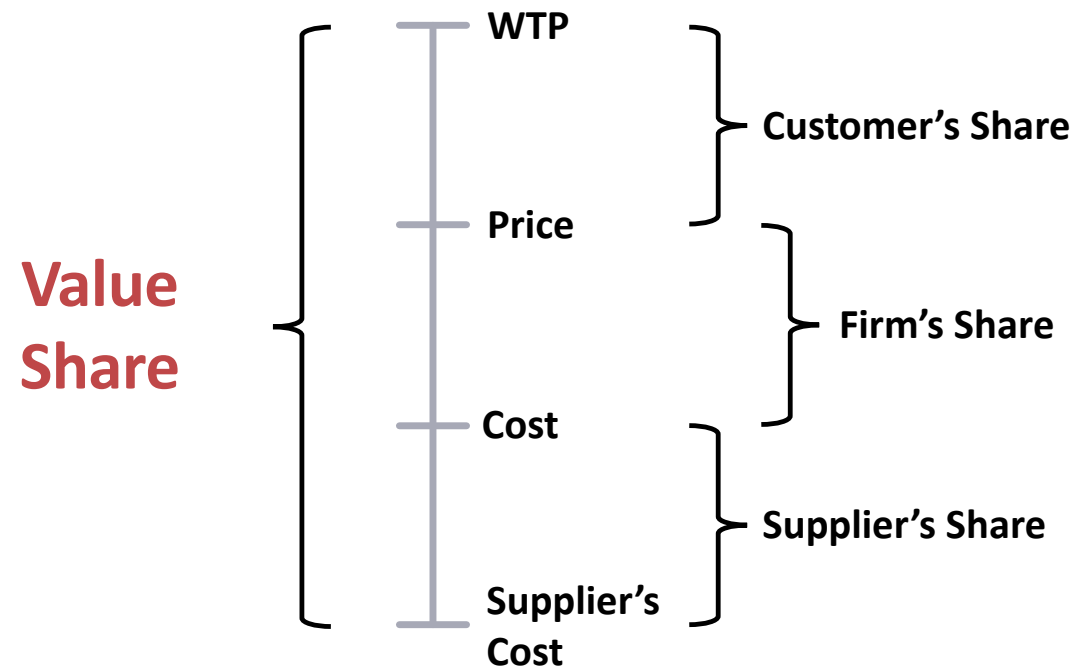
Sustainability (SCA)

- Forces at work
 - Reinvention
 - Exceptional

Organic Growth

- Result vs. objective
 - IR x RONIC
- Different forms

| appropriating value



| returns

$$\frac{\text{output}}{\text{input}}$$

| return on capital

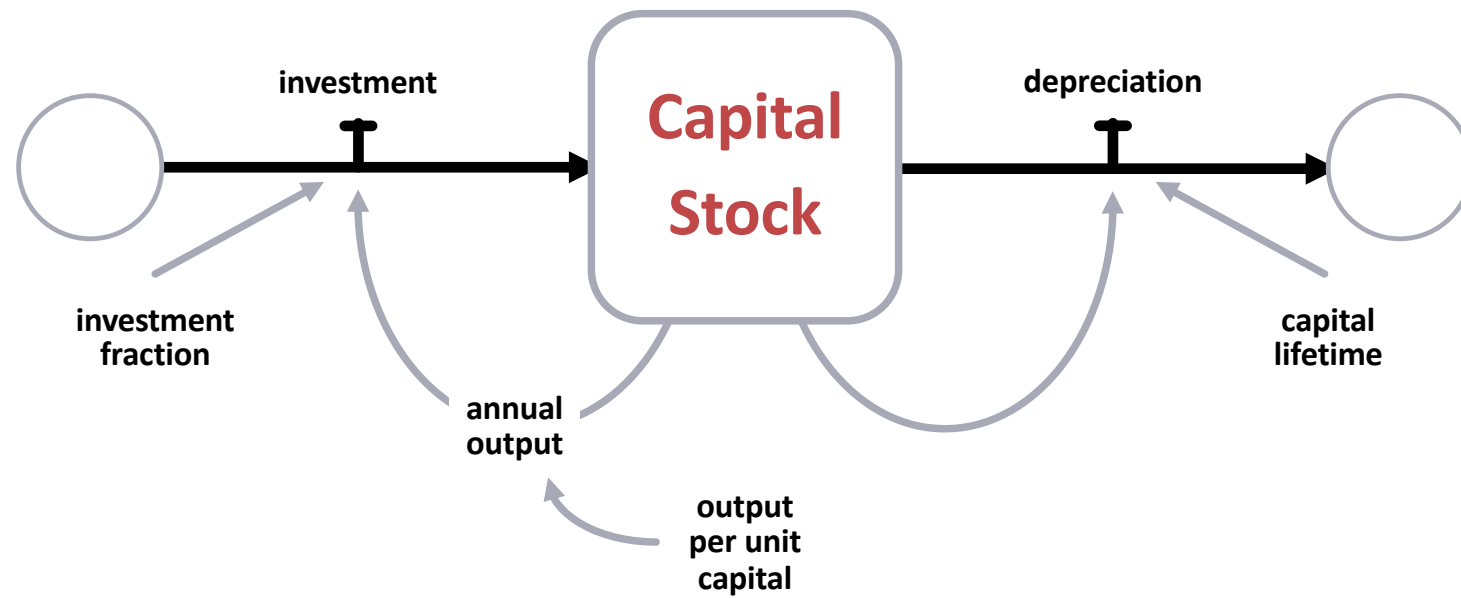
$$\text{ROIC} = \frac{\begin{array}{c} \text{Power} \\ \text{(operating margin)} \\ \text{NOPAT} \\ \hline \text{sales} \end{array}}{\text{sales}} \times \frac{\begin{array}{c} \text{Speed} \\ \text{(capital turnover)} \\ \text{sales} \\ \hline \text{capital} \end{array}}{\text{capital}} = \frac{\text{NOPAT}}{\text{capital}}$$

| per unit economics

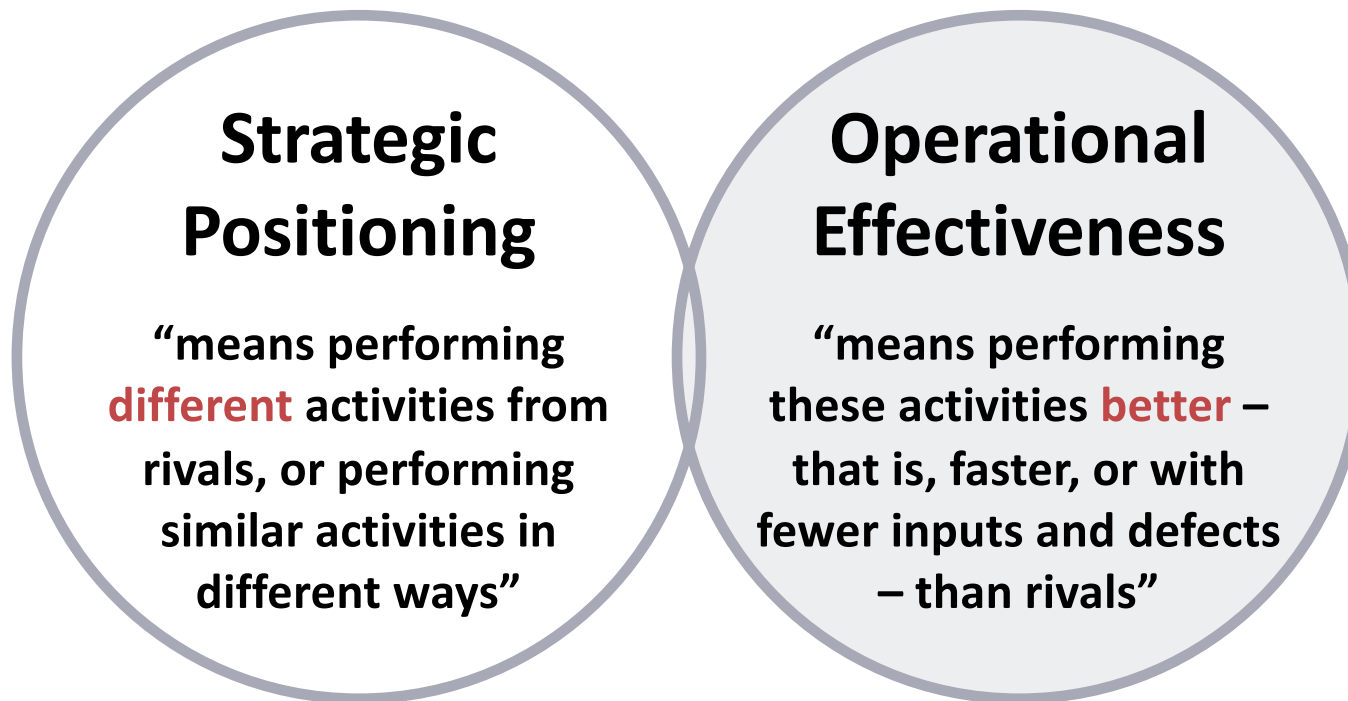
$$\text{ROIC} = (1 - \text{tax rate}) \frac{\text{price per unit} - \text{cost per unit}}{\text{invested capital per unit}}$$



systems view



competitive advantage



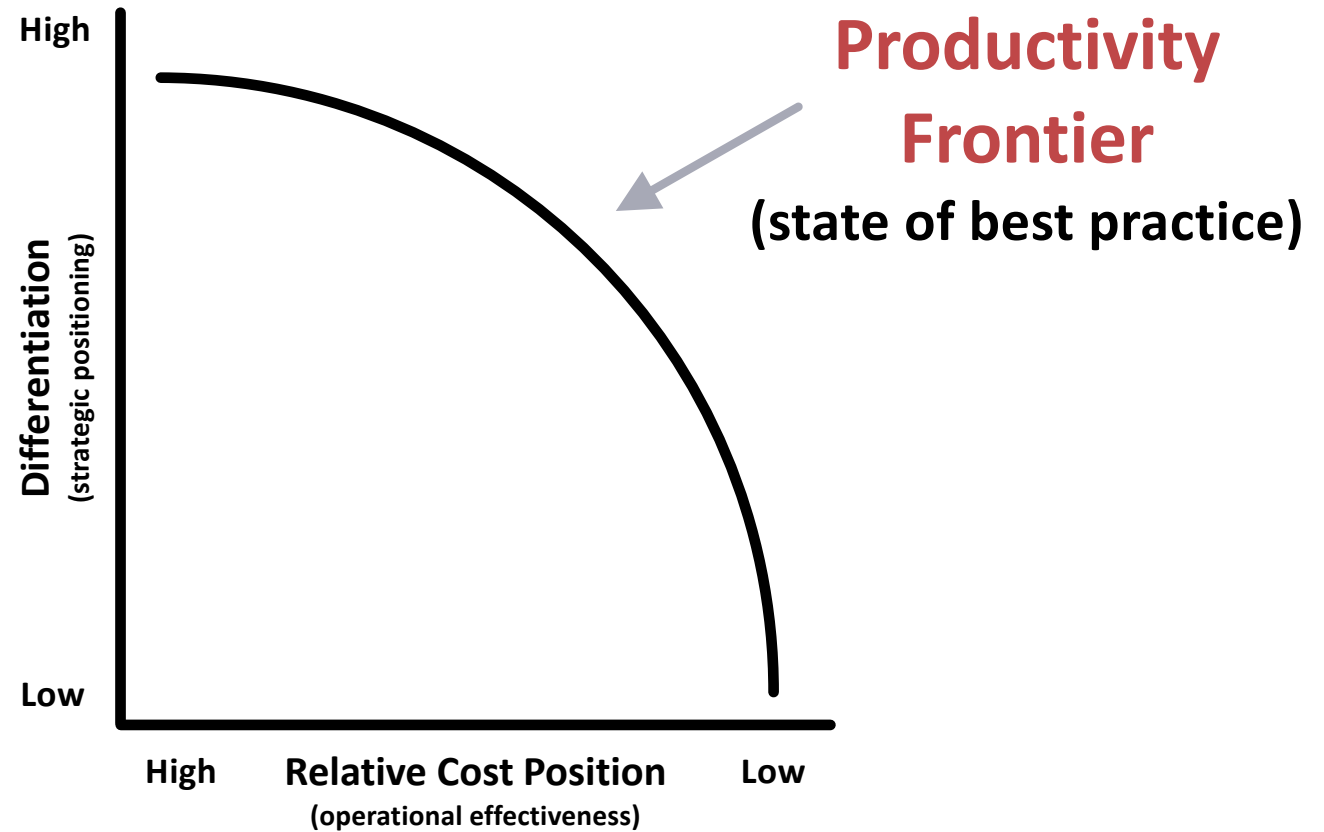
| different and better

Strategic Positioning

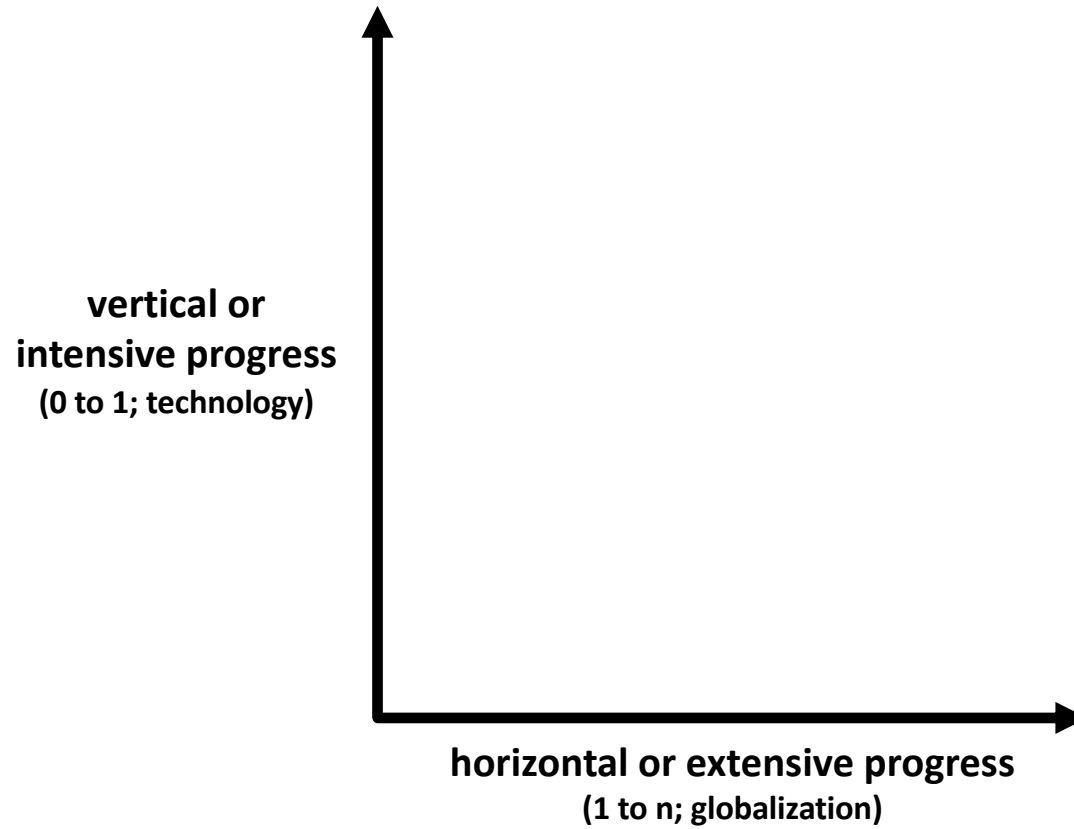
Operational Effectiveness

$$CA = (WTP - Cost)_{\text{you}} - (WTP - Cost)_{\text{competitor}}$$

| productivity frontier



intensive vs. extensive progress



| **strategic intent**

1

Must go beyond imitation

Imitation may flatter, but doesn't lead to competitive revitalization

2

Create a misfit between resources and opportunity

Stretch and close the gap by systematically building new advantages

3

Change terms of engagement

Refuse to accept the front-runner's definition of industry and create a new space



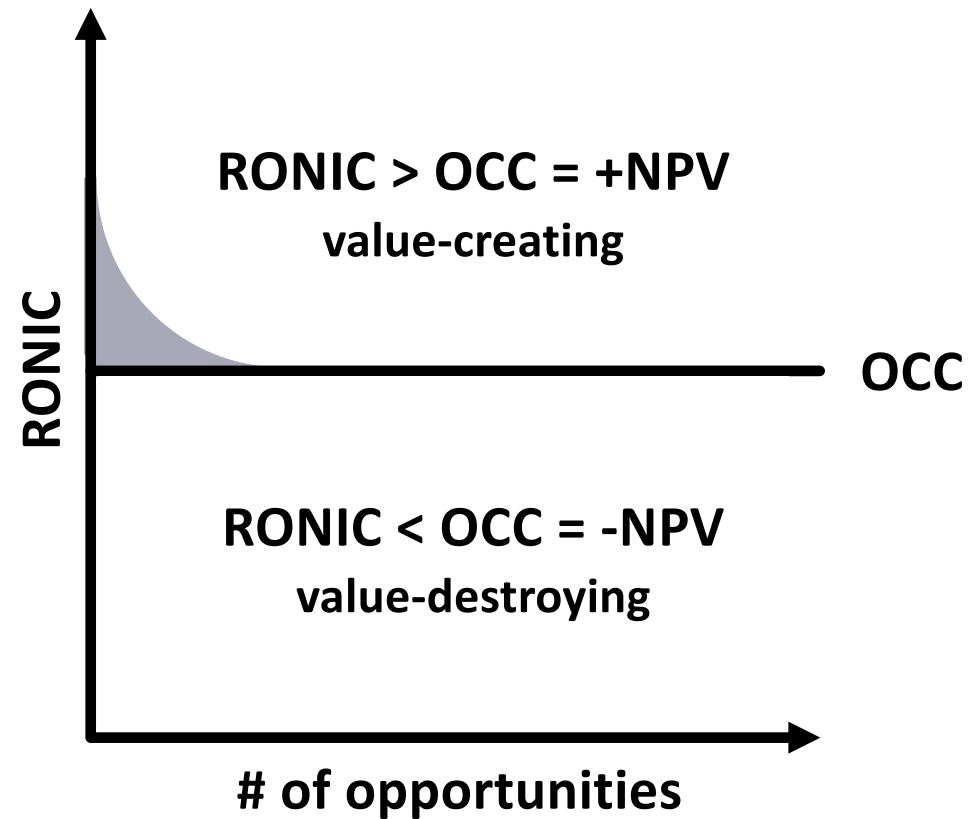
| economic spread

RONIC > OCC

OCC $\neq$ expected return
OCC = what you forego

| sustainable competitive advantage

- Competitive forces at work
- Requires constant reinvention
- Not common

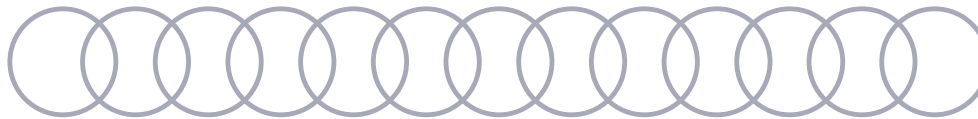


| leverage

Solve via iteration



Then get paid via repetition



| growth

Objective vs. Result

equality

Revenues
(COGs)
(SG&A)
(Depreciation)
EBIT
(Taxes)
NOPAT (NOPAT = net operating profit after tax)
(Net investment in growth)
Free cash flow

RONIC = return on new invested capital = NOPAT/capital;
return the company earns on the capital invested
in the business

$$\text{NOPAT} \times g = \text{NI} \times \text{RONIC}$$

g = growth

NI = net investment;
investment amount beyond what's required for
maintenance purposes

| growth as product

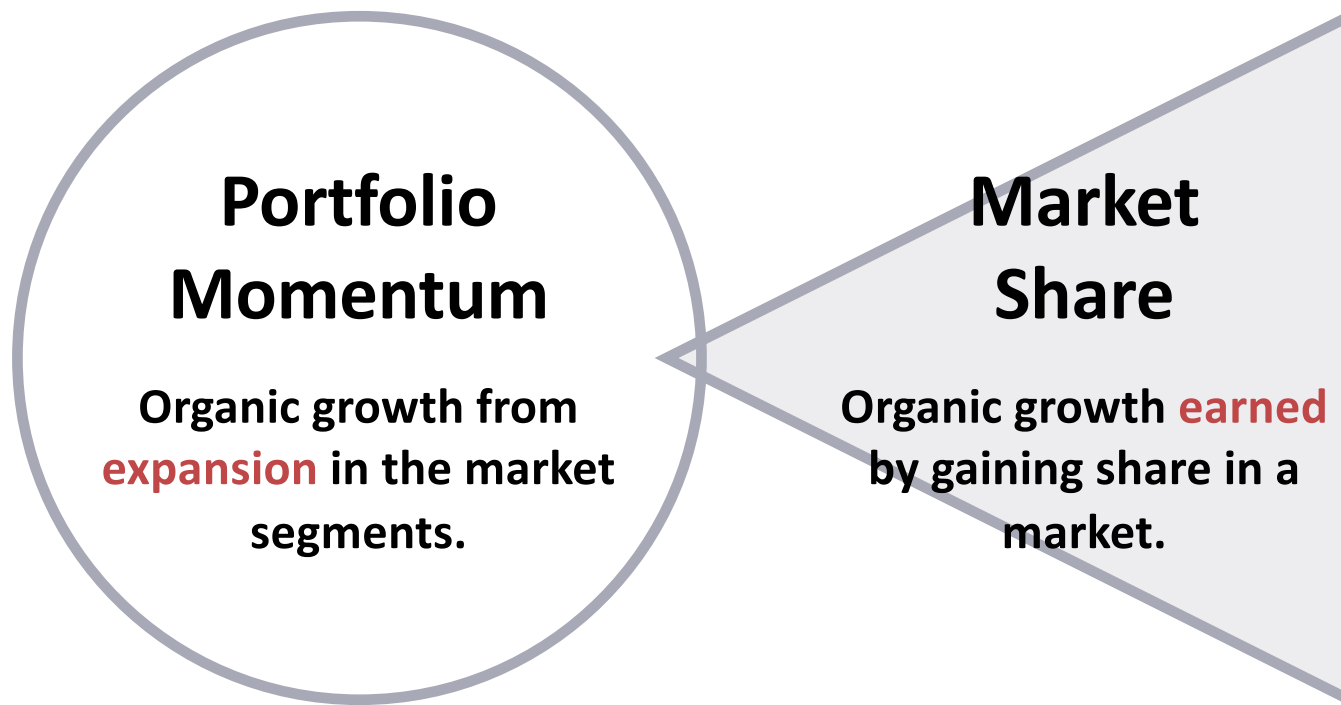
IR = NI/NOPAT; portion of NOPAT
invested back into the business

$$g = IR \times R\text{ONIC}$$

Return the company earns on the
capital invested in the business



| organic growth



above average growth

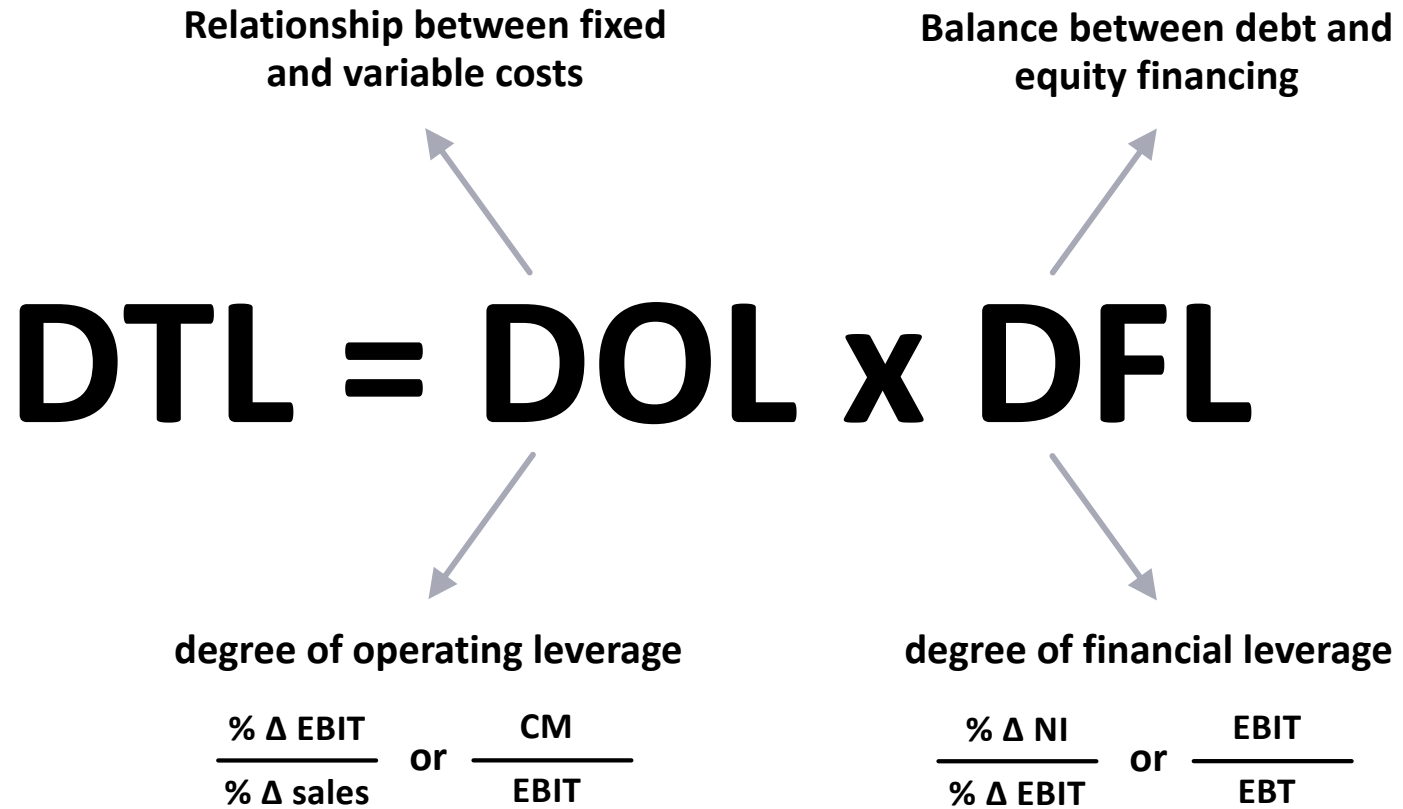
Growth Type

- Create new markets through **new products**
- Convince existing customers to **buy more** of a product
- **Attract new customers** to the market

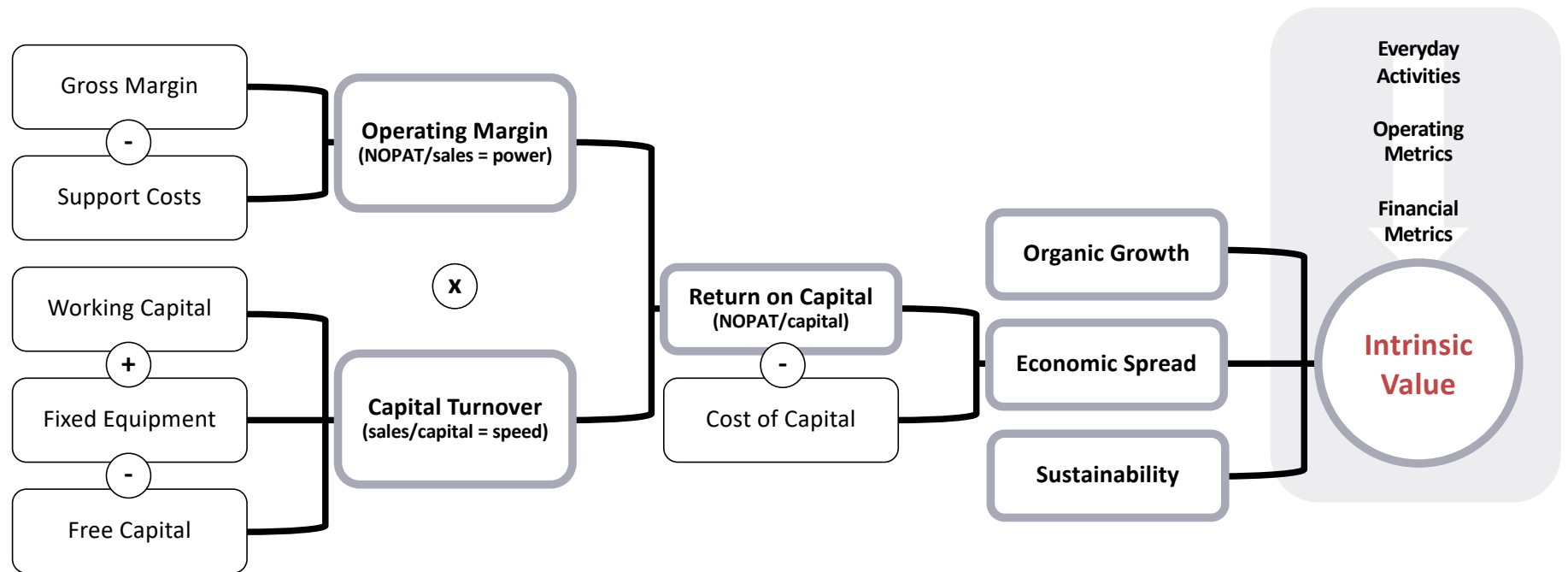
Rationale

- **No established competitors**; diverts customer spending
- Competitors benefit; **low risk of retaliation**
- Competitors benefit; **low risk of retaliation**

leverage



value tree



| the organization

1

Buying customers vs. producing goods or services

Doing the things that will make people want to do business with it

2

A customer-creating and customer-satisfying organism

Must be done continuously and be part of the company's fabric

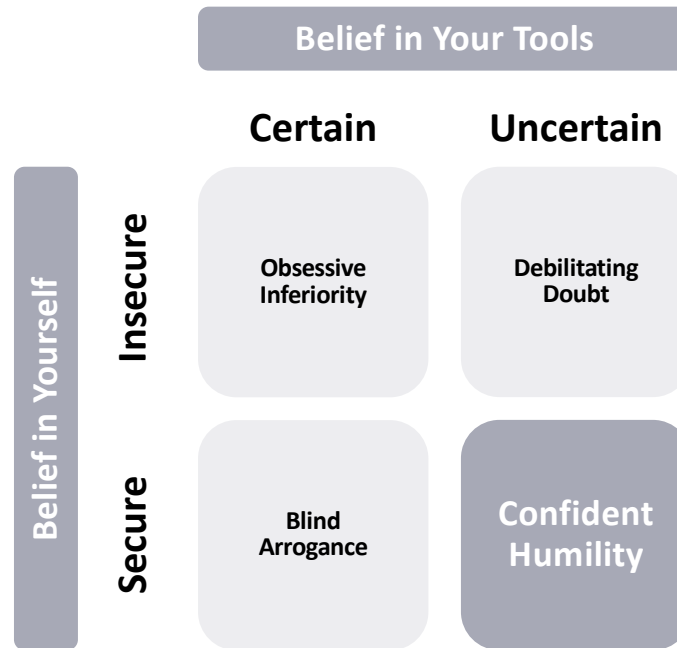
3

Leadership is responsible for creating this environment

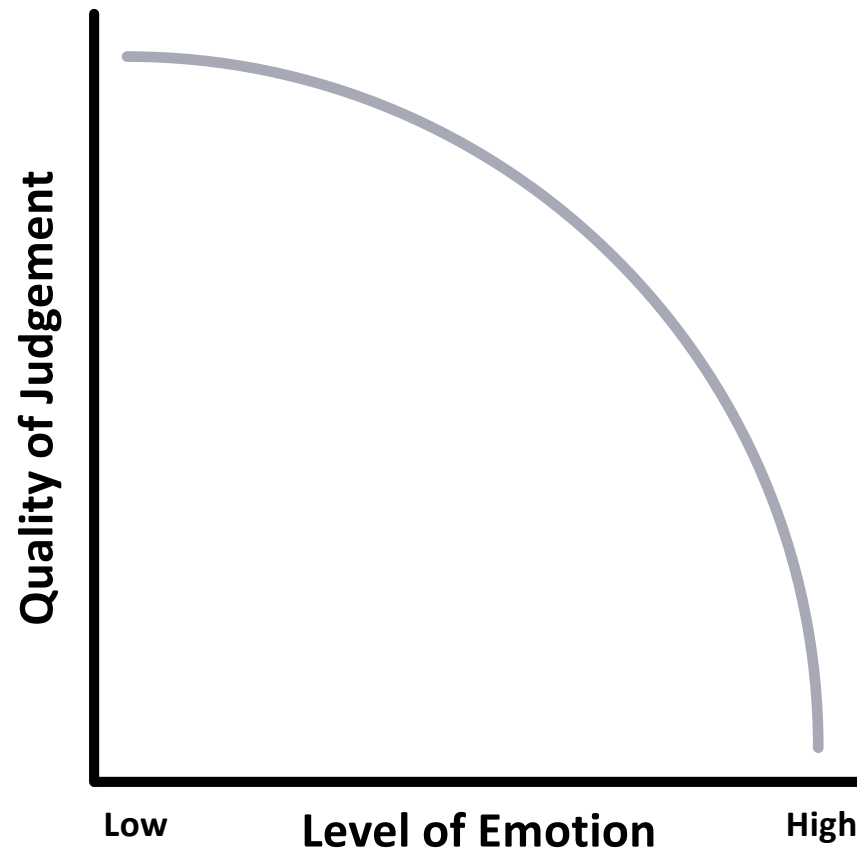
The CEO sets the company's style, direction and goals



confidence and competence



decision making



**Blameless
postmortem** (Porat)

**Prospective Insight;
premortem** (Klein)

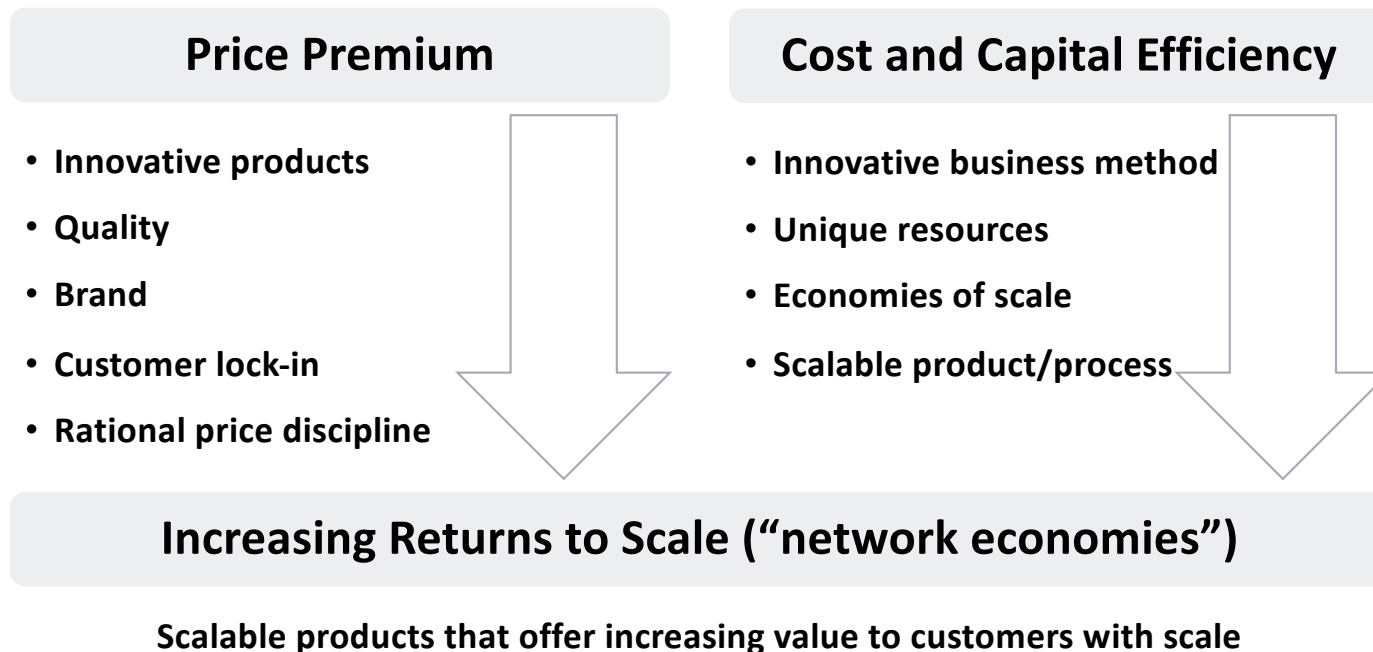
Complementary relationships

Value of one depends on the other and where **differences** are complementarities.

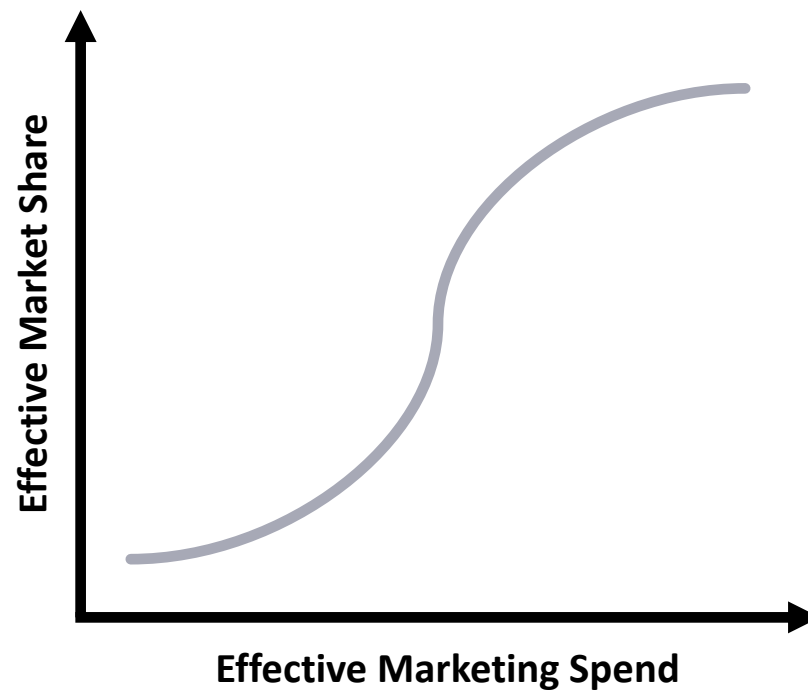
Diversity of thought

Gains potentially greater by choosing people who bring **different** capabilities.

returns to scale

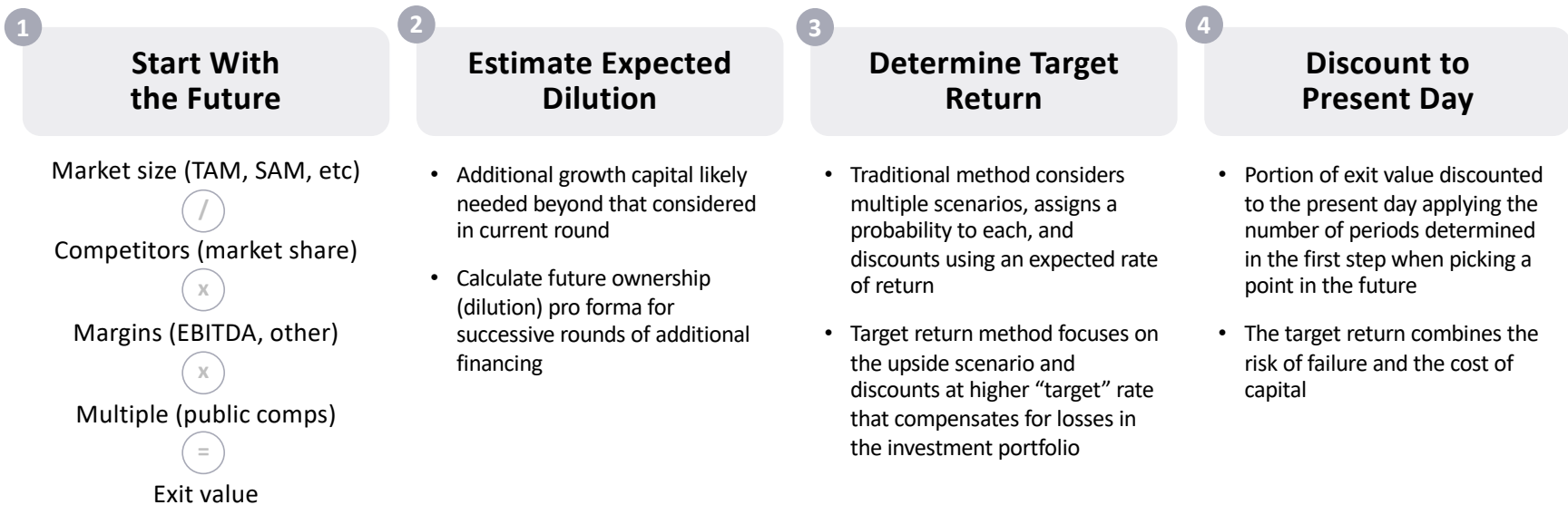


| response function



vc method

The VC Method builds on the sweet spot approach (preferred ownership at preferred investment level) to include an exit valuation, dilution and target return. Companies are not so much valued as they are “priced”.



**MS Excel spreadsheet examples available for both VC method and dilution subjects*

early-stage valuation

Value =

PV of free cash flow during
explicit forecast period

+

PV of free cash flow after
explicit forecast period

+

$$\frac{FCF_T}{(1 + r)^T}$$

$$\frac{NOPAT (1 - g/RONIC)}{WACC - g}$$

$$\frac{1}{(1 + r)^T}$$

Revenues

(COGs)

(SG&A)

(Depreciation)

EBIT

(Taxes)

NOPAT (NOPAT = net operating profit after tax)

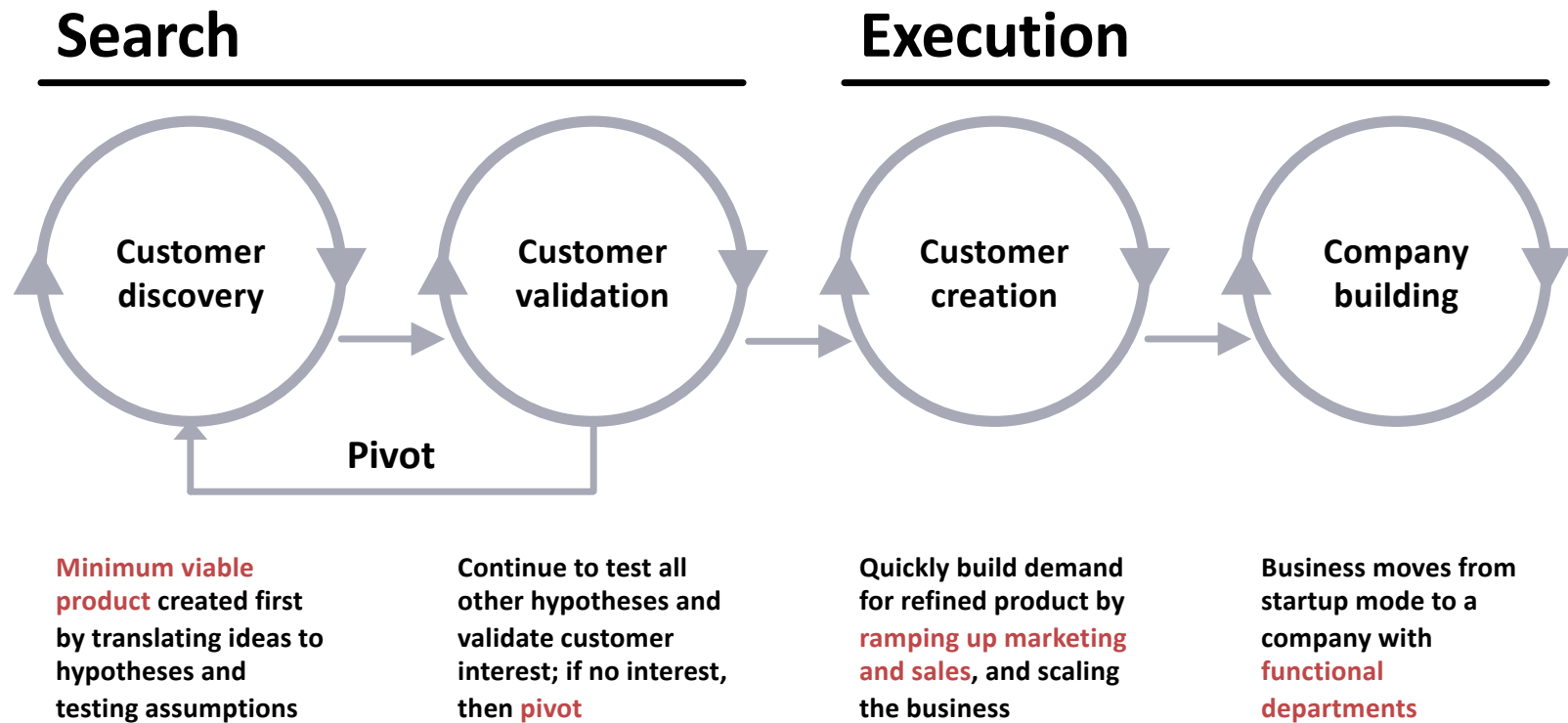
(Net investment in growth)

Free cash flow

lean start

	Lean	Traditional
STRATEGY	Business Model - Hypothesis-driven	Business Plan - Implementation-driven
NEW PRODUCT PROCESS	Customer Development - Get out of the office and test hypotheses	Product Management - Prepare offering for market following a linear, step-by-step plan
ENGINEERING	Agile Development - Build the product iteratively and incrementally	Agile or Waterfall Development - Build the product iteratively, or fully specify the product before building it
ORGANIZATION	Customer and Agile Development Teams - Hire for learning, nimbleness and speed	Departments by Function - Hire for experience and ability to execute
FINANCIAL REPORTING	Metrics That Matter - Customer acquisition cost, lifetime customer value, churn and viralness	Accounting - Income statement, balance sheet and cash flow statement
FAILURE	Expected - Fix by iterating on ideas and pivoting away from ones that don't work	Exception - Fix by firing executives
SPEED	Rapid - Operates on good-enough data	Measured - Operates on complete data

customer development



elements

Engineering

1

Can you create breakthrough technology instead of incremental improvements?

Timing

2

Is now the right time to start your particular business?

Monopoly

3

Are you starting with a big share of a small market?

People

4

Do you have the right team?

Distribution

5

Do you have a way to not just create but deliver your product?

Durability

6

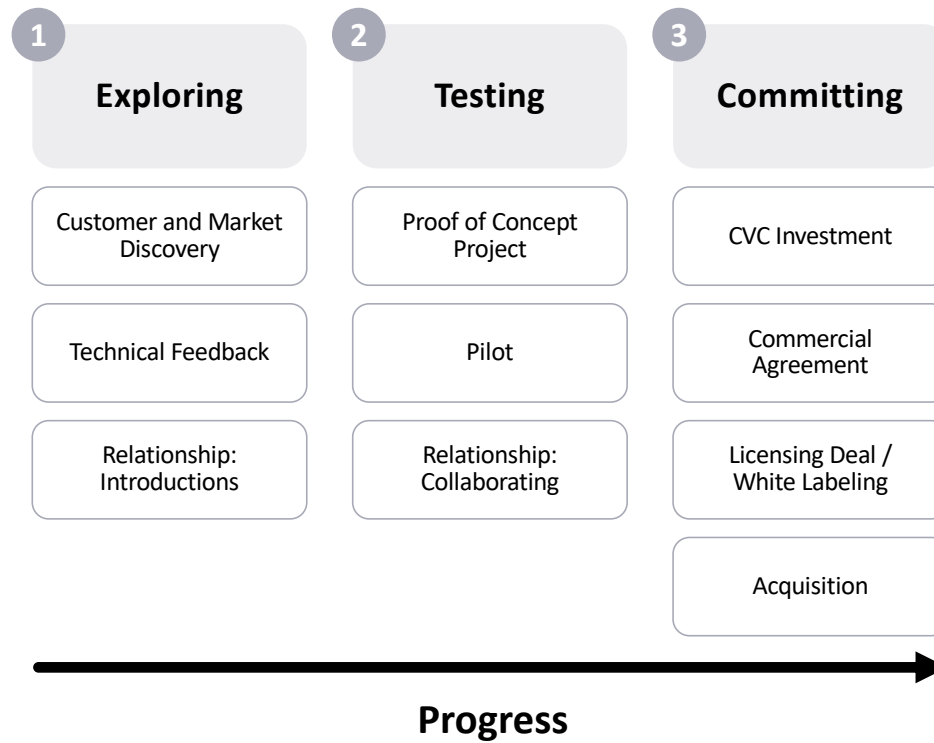
Will your market position be defensible 10 to 20 years into the future?

Secret

7

Have you identified a unique opportunity that others don't see?

partnership development



capital formation and providers

